

May 20, 2026

Vanessa A. Countryman
Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: S7-2026-15

Dear Ms. Countryman,

I am writing to express my strong opposition to the Commission's proposal to transition mandatory financial reporting for public companies from a quarterly (3-month) to a semiannual (6-month) cadence. While the stated goal of this change is to reduce "short-termism" and compliance costs, the proposal fails to account for the severe informational disadvantages it imposes on retail investors and the broader risks to market stability. My opposition is based on the following points.

First, this rule change ignores the fundamental structural gap between institutional and retail investors. Small investors rely heavily on standardized, frequent quarterly reports because, unlike large institutional firms, they lack direct access to senior management. Without the 90-day pulse of Form 10-Q filings, retail investors are essentially locked out of the information loop for half the year, while large funds continue to leverage their size to gain private insights.

Second, reducing the frequency of reporting provides management with an unacceptable window to delay the disclosure of negative material news. The history of the markets shows that when companies are allowed longer gaps between public filings, bad news is often buried until it can no longer be hidden, resulting in "information dumps" that trigger extreme price volatility. This undermines the SEC's mission to maintain orderly markets.

Third, the Commission has not adequately addressed the unknown impact this change will have on derivative markets, particularly the options market. Options are vital tools for investors seeking to hedge their positions and manage risk. Option pricing and

liquidity are deeply tied to the regular arrival of quarterly financial data. Extending the reporting cycle could drastically increase the cost of hedging and reduce liquidity in these essential markets.

Furthermore, I am deeply concerned that a 6-month cycle will exacerbate the exchange of material non-public information. Management frequently holds private meetings with large investors and sell-side analysts between public reporting periods. Doubling the time between public disclosures creates a dangerous six-month "blackout" for the public, during which management can provide private "color" or guidance to favored parties. This creates an environment of asymmetrical information where retail investors are systematically traded against by those with better access.

In conclusion, the proposed shift to semiannual reporting prioritizes corporate convenience over investor protection. It erodes transparency, invites market volatility, and tilts the playing field even further toward institutional players. I urge the Commission to withdraw this proposal and maintain the quarterly reporting standards that have made U.S. capital markets the most transparent in the world.

Sincerely,

James A Parker
Charlotte, North Carolina